NATIONAL UNIVERSITY OF SCIENCE AND TECHNOLOGY

FACULTY OF COMMERCE

DEPARTMENT OF ACCOUNTING

BACHELOR OF COMMERCE IN ACCOUNTING

TAXATION 11

CAC 4202

FINAL EXAMINATION PAPER

SEPTEMBER 2021

This examination paper consists of 10 pages

Time Allowed: 3 hours

Total Marks: 100

Special Requirements: Apply the Tax Law provisions for the **2021 tax year**. Tax tables are provided in the attached Appendix, on **page 8.**

Examiner's Name: P.N. Mushure

INSTRUCTIONS

1. Answer all four (4) questions
2. Each question carries 25 marks
3. Use of calculators is permissible
4. In marking papers, the examiner takes into account clarity of expressions, effective arrangement and presentation, as well as **LEGIBILITY** of handwriting.

MARK ALLOCATION

QUESTION		MARKS
1.	Farming	25
2.	Mining	25
3.	Deceased Estates, Trusts and Estate Duty	25
4.	Value Added Tax	25
TOTAL		100

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Question 1 [25 marks]

Mr Nokutenda Tirivakundi inherited a farm from his father in the Shangani area on 1 January 2021.

1. The following were the assets and livestock inherited by him at the valuation for estate duty purposes:

Livestock		$
10	heifers	40 000
20	bulls	160 000
40	calves	100 000
100	cows	600 000
200	oxen	1 200 000
370		**2 100 000**
Assets		
Land		2 000 000
Dams		1 800 000
Farm Improvement		1 200 000
Farm shed		250 000
Irrigation equipment		300 000
Fencing		100 000

2. The following stock movements occurred on the farm during the year:
- 2 tollies and 3 bulls were stolen by cattle rustlers.
- 16 calves were born.
- 40 oxen were sold to Shangani abattoirs for $400 000.
- 8 heifers became cows.
- 15 calves became tollies.

3. The following information relates to his farming operations:

Income	Note	$
Livestock sales	a	40 000
Sale of soya beans		400 000
Sale of tobacco		60 000
Profit from sale of irrigation equipment	b	4 000
Subsidy on building a dam		4 500
Expenditure		
Cost of building a dam		50 000
Interest on loan acquired to build a dam		1 200
Salaries and wages		38 500
Dipping chemicals		4 000
Livestock feed		8 000

Construction of permanent road		20 000
Combine harvester		15 000
Sinking of boreholes		5 000
Other tax deductible farm expenses		4 200

Notes:

a) During the year, the Ministry of Mines and Mining Development listed part of the farm for mining activities. Mr Tirivakundi had to sell part of his livestock so as to cope with a reduced carrying capacity of the land.

b) The irrigation equipment had a carrying amount of $140 000 and an ITV of $105 000.

c) The Commissioner General approved the following values for different classes of livestock:

Livestock	bulls	oxen	cows	heifers	tollies	calves
FSV ($)	5 000	4 500	3 500	3 000	2 500	800

Required

(a) List any 3 expenses of a farmer that are not recoupable. **(3)**

(b) Prepare a Livestock Reconciliation to determine the value of livestock at 31 December 2021. **(6)**

(c) Calculate Mr Tirivakundi's minimum tax liability for the year ending 31 December 2021. **(16)**

Question 2 [25 marks]

Zhing Zhong (Pvt) Ltd is a Zinc mining company which started operating in Chegutu in 2020. The company is owned by 3 directors, one of which Mr Lee, is based in Zimbabwe, with full time responsibility for the company. The other directors are based in China. The company started making sales on 1 January 2021 and the following are details for the year ending 31 December 2021:

Income	**Note**	**$**
Sales of Zinc ore		3 436 000
Sale of mining claims		200 000
Profit from sale of front end loader	1	153 000
Interest from NMB Bank		70 000
Expenses		
Management and administrative expenses		450 000
Interest payable to parent company	2	150 000
Depreciation		120 000
Lease expenses	6	10 000

Management fees payable to a parent company	2	24 000
Crushing of Zinc ore		134 000
Replacement of mining equipment		1 400 000
Net Profit		**1 571 000**

Additional Information:

1) Zhing Zhong (Pvt) Ltd sold a front end loader on 1 October 2021. The truck had a carrying amount of $147 000.
2) Zhing Zhong (Pvt) Ltd is a subsidiary of Zhing Zhong Mining China and the Zimbabwean mining company borrowed an amount of $1 500 000 at 10% interest per annum at the beginning of the year. The loan was meant to expand the mine operations. Zhing Zhong (Pvt) Ltd also paid $24 000 to the parent company for expertise hired for sinking of mine shaft.
3) At 31 December 2021, an extract of the company's Statement of Financial Position:

Issued share capital	120 000
Retained profit	60 000
Loan from Zhing Zhong Mining	1 500 000

4) The company incurred the following expenditures in the periods indicated:

	2020	2021
Mining claim	100 000	-
Mine equipment	1 000 000	2 000 000
Company floatation costs	80 000	-
Clinic built	-	8 500 000
House for mine nurse	-	5 000 000
House for mine Finance manager	-	9 000 000
House for director	-	15 000 000
Mercedes benz	-	2 600 000
30 tonne haulage truck	-	6 000 000
Prospecting expenses	-	1 300 000
Shaft sinking	700 000	-

5) The life of the mine was agreed to be 21 years at 1 January 2021.
6) The company signed a lease agreement with Minetech Solutions for the use of a Crimping machine and paid a lump sum of $10 000 and rentals of $1 500 per month payable in arrears beginning April 2021. Only the lumpsum was included in the accounts.
7) Zhing Zhong (Pvt) Ltd elected to claim the minimum allowance.

Required

(a) Calculate the Capital Redemption Allowance for the year ending 31 December 2021. **(8)**

(b) Compute Zhing Zhong (Pvt) Ltd's tax liability for the year ending 31 December 2021. **(17)**

Question 3 [25 marks]

Mr Kufahakuurayi, who was born and raised in the United Kingdom became ordinarily resident in Zimbabwe in 2010. On 20 October 2021, he died at the Avenues clinic, at the age of forty two and was survived by his wife and a son . At the time of his death, he was employed by Holiday Inn.

The following details are relevant for the period 1 January 2021 to 20 October 2021:

1) Kufahakuurayi's assets at the time of his death:

	Note	$
Private Principal Residence		2 500 000
Industrial stand		4 500 000
Toyota land cruiser	a	250 000
Mercedes Benz		300 000
Bank deposit		500 000
Cash on hand		30 000
Shares in Old Mutual		400 000
Block of flats	b	34 000 000

2)

	$
Gross monthly salary	350 000
Pension contribution per month	12 000
NSSA contribution per month (given)	1 500
Contribution to CIMAS medical aid per month	2 000
Interest from debentures in Food Processors (Pvt) Ltd	36 000
Royalties from Longman Publishers Zimbabwe	21 000
Rentals from properties in Botswana	60 000

3) The executor of Mr Kufahakuurayi's estate received the following amounts between 21 October 2021 and 31 December 2021, the date the final distribution account for the late Kufahakuurayi was approved by the Master of the High Court:

- Rental from properties in Botswana 21 000
- Cash in lieu of leave 160 000

- Bonus voted on 30 November 2021 — 620 000
- Lumpsum from a matured policy — 140 000
- Lumpsum from a pension fund (paid as death benefit) — 80 000

4) Mr Kufahakuurayi had donated a Mitshibishi twin cab to his cousin, Nyasha, in 2012, worth $140 000.

Notes:

a) The Master of the High Court accepted the Toyota Land cruiser as a family car.
b) Mr Kufahakuurayi acquired the block of flats in 2013. The block of flats are situated in Francistown, Botswana.

❖

Required

c) Calculate the **taxable income** in relation to the above income of Mr Kufahakuurayi, identifying it with the **respective taxpayer**. **(13 marks)**

d) Compute the **dutiable amount** in respect of Mr Kufahakuurayi's estate.

(12 marks)

Question 4 [25 marks]

(a) You have just been employed by Wild Oats (Pvt) Ltd as an accountant. Wild oats runs a service station and a grocery shop. Part of your duties is to compile the company's VAT returns.

You have been provided with the following information for the tax period ending 31 August 2021:
Supplies of goods subject to VAT at the standard rate $31 500 000 (of which 20% was for supplies made in the previous tax period).

- Supplies of zero rated goods $4 000 000
- Supplies of petrol and diesel $2 250 000
- Purchases of goods for resale, $9 500 000 ($7 500 000 standard rated and the balance were zero rated).

The supplier offered Wild Oats (Pvt) Ltd a 5% discount if it paid cash for the Purchases. In order to take advantage of this offer, Wild Oats paid cash for the goods and was granted the 5% discount.

- Purchases of petrol and diesel $1 000 000
- Electricity $56 000
- Rent $800 000

The company imported a 15KV generator from South Africa for use in its business. It paid $1 200 000 for the generator and requested the vendor to transport it to Harare. It cost the company $140 000 to transport the generator to Robert Mugabe

International Airport. It paid customs duty of 5% and the generator was immediately put to use to power electricity for both the service station and the grocery shop. Municipal rates were $150 000. ~~Exempt~~ Zero rated.

An analysis of the company's bank statement for the month of August 2021 reflects the following:

Bank charges	$20 000
Interest on overdraft	$11 140

Required

Advise the company on the correct tax treatment & calculate the VAT liability.

(20)

(b) Amato Enterprise (Pvt) (Ltd), a registered operator, is Always Insurance Company's only asset. Always Insurance Company has a 100% equity in Amato Enterprises. On 15 February 2021, Amato sold two of its computers to Always for use in its property insurance division at $137 500 each. Amato Enterprise had purchased the computers for $45 500 each and their open market values at the time of disposal were $58 300 each.

Required

Advise the company on the correct treatment & calculate the VAT liability, if any. **(5)**

END OF EXAMINATION PAPER

APPENDIX:

Annual Tax Rates

Individuals

Employment Income (Domestic) – 1 January 2021 to 31 December 2021

Segment of Income per annum	Multiply by (%):	Deduct:
0-120 000	0	0
120 001 – 360 000	20	24 000
360 001- 720 000	25	42 000
720 001 – 1 440 000	30	78 000
1 440 001– 3 000 000	35	150 000
3 000 001 and above	40	300 000

- Income from trade or investments – 24%
- The AIDS Levy of 3% applies on Income tax chargeable after-tax credits.

1. Companies

- Basic Income Tax Rate – 24%*
- Manufacturing company exporting at least:
  30% of output (by quantity or volume) - 20%

  41% of output (by quantity or volume) - 17.5%

  51% of output (by quantity or volume) - 15%

- Mining companies – 24% *
- Special mining lease companies – 15%*
- *Plus 3% AIDS levy

* The AIDS Levy of 3% applies on Income tax chargeable after-tax credits.

2. Allowable pension deductions

Employee – Pension and NSSA	54 000
Employer – Pension and NSSA	54 000
RAF/Pension	54 000

3. **Bonus exemption - $25 000;** with effect from 1 November 2020.

4. **Retrenchment package**

   The first $800 000 or one third of the approved retrenchment package whichever is greater, subject to a maximum exemption of $1 200 000.

5. **Credits (Annual)**

Credit:	
Elderly Person	72 000
Blind Person	72 000
Mentally and Physically Disabled	72 000

*The amounts relate to 12 months and should be reduced proportionately, if the period of assessment is less than 12 months.

6. **Deemed motoring benefit**

Engine capacity	
0 – 1 500 cc	54 000
1 501 – 2 000 cc	72 000
2 001 – 3 000 cc	108 000
3 001 – and above	144 000

7. **Capital allowances**

   Deemed costs to be used in determining capital allowances

Asset	**Farming ($)**	**Mining ($)**
Passenger Motor Vehicle	800 000	800 000
School, clinic, hospital, nursing home	800 000	4 000 000

Qualifying cost for staff housing $2 000 000

8. **Rates of capital allowances**

   - Special Initial Allowance (SIA) – 25%
   - Accelerated Wear and Tear – 25%

Wear and Tear on:

- Farm Buildings – 5%
- .Industrial buildings – 5%
- Commercial buildings – 2.5%
- Motor Vehicles – 20%
- Movable assets (general rate) – 10%

9. Capital Gains Tax

- On all listed marketable securities – exempt
- On unlisted marketable securities acquired before 22/02/2019 – 5% (on gross proceeds)
- On immovable property acquired before 22/02/2019 – 5% (on gross proceeds)
- On unlisted marketable securities and acquired after 22/02/2019 – 20%
- On immovable property acquired after 22/02/2019 – 20%

10. Capital Gains withholding tax on sales proceeds

- On immovable property acquired before 22/02/2019 – 5%
- On immovable property acquired after 22/02/2019 – 15%
- On all listed marketable securities – 1%
- On unlisted marketable securities acquired before 22/02/2019 – 5%
- On unlisted marketable securities acquired after 22/02/2019 – 5%

11. Loans

The deemed benefit per annum is calculated at the rate of LIBOR plus 5% of the amount of the loan. The LIBOR rate for 2021 is assumed at 1% unless stated otherwise in the scenario/required.

.....**End**.....